Economics_2024_PYQ

Group-A (Very Short Answer Type Question)

Answer any ten of the following: [1 x 10 = 10]

1. The combination of stagnation and inflation is known as _____.
2. In the situation of bankruptcy, a stock which is recorded above common stock and below debt account is _____.
3. What is WPI?
4. Sensitivity of demand to change in price is known as _____.
5. Decision tree algorithm belongs to the _____ family.
6. A firm buys products but does not pay to suppliers instantly. This is recorded as _____.
7. What is the usage of Power-sizing Model?
8. The owner of the debenture is qualified for Fixed-rate interest. (True / False)
9. A portfolio having two risky securities can be turned risk less if _____.
10. On balance sheet, accruals, notes payable, and account payable are listed under current liabilities (True / False)
11. A company that issues stocks and bonds to raise funds results in _____.
12. What is the Benefit-Cost Ratio (BRC)?

versity.onrender.com

Group-B (Short Answer Type Question)

Answer any three of the following: [5 x 3 = 15]

2. What is Income Statement?
3. What is a patent?
4. What are Recurring cost and non-recurring cost?
5. How can GST give relief to the overall tax burden?

6. Is there any Importance of Ethics in Engineering and Engineering Economy?

Group-C (Long Answer Type Question)

Answer any three of the following: [15 x 3 = 45]

7. (a) Explain the types of property in the context of Depreciation.
   (b) 'Almost all tangible property can be depreciated'. -- Explain.
   (c) 'One important exception is land, which is never depreciated.' -- Explain.

8. (a) Suppose a professional golfer wants to invest some recent golf winnings in her hometown bank for one year. Currently, the bank is paying a rate of 5.5% compounded annually. Assume inflation is expected to be 2% per year. Identify i, f and i'. Repeat for inflation of 8% per year.
   (b) What is CPI or retail inflation?

9. (a) A firm expanded one of its manufacturing operations inside an existing building. New processing and packaging equipment was purchased for $800,000. Sales revenue for the year was $1.25 million. Operating expenses for that year, not including the capital expenditures, were $360,000. The new equipment qualifies for 100% bonus depreciation.
   (i) What is the first-year depreciation charge?
   (ii) What is the first-year taxable income?
   (iii) What are the federal income taxes for the year?
   (b) Illustrate the model of a Balance sheet.

versity.onrender.com

10. (a) What are the steps involved in the rational decision-making process?
    (b) What do you know about the unusual aspects of engineering decision making?

11. (a) How is CPI used to measure inflation?
    (b) Does an increase in CPI mean inflation?
    (c) What are the probability distributions for the annual benefit and life for the following project? The annual benefit's most likely value is $8000 with a probability of 60%. There is a 30% probability that it will be $5000 and the highest likely value is $10,000. A life of 6 years is twice as likely as a life of 9 years.